

Employing in Malta

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Employment and Industrial Relations Act
- **Monthly payroll** — salary payments in EUR, itemised payslips
- **Tax withholding** — PAYE income tax withheld and remitted via the FS5 monthly return
- **Social Security Contributions (SSC)** — Class One employer/employee contributions
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Default 6 months (1 year for managerial/technical roles paid above a set threshold)	Employment and Industrial Relations Act
Standard hours	8 hrs/day, 40 hrs/week	Employment and Industrial Relations Act
Monthly reporting (FS5/FS7)	Monthly FS5 return + annual FS7 reconciliation	Inland Revenue / Social Security Department

Minimum Wage & SSC Contributions (2026)

Measure	Rate	Notes
Minimum weekly wage	€219.08 (~€950/month)	Basis for the SSC minimum weekly wage floor
Employer SSC (Class One)	10% of the basic weekly wage	Matched by an equal employee contribution
Maximum weekly wage for SSC purposes	€534.67	Contributions are capped at 10% of this ceiling (€53.47/week each side), regardless of actual earnings

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Statutory minimum tied to public holidays plus a base entitlement (commonly around 24 days/year total)	Employer	Employment and Industrial Relations Act
Sick Leave	Typically 2 working weeks/year on full pay (varies by Wage Regulation Order/sector)	Employer	Sector-specific Wage Regulation Orders may extend this
Maternity Leave	18 weeks (14 weeks full pay, remainder at a state allowance rate)	Employer (14 weeks) + state maternity fund	Job-protected

★ HERO TIP

Malta's SSC is capped at a modest weekly ceiling (€53.47 per side at most), meaning the employer contribution barely changes across a wide range of professional salaries — it functions almost like a flat per-employee cost rather than a percentage of salary once earnings exceed the weekly ceiling. Confirm any sector-specific Wage Regulation Order that might set additional terms for the specific role.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer SSC (capped at ~€53.47/week ≈ \$232/month)	\$232.00	7.73%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,832.00	~127.7%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Because SSC is capped at a weekly ceiling regardless of salary, its effective percentage of gross shrinks the higher the salary — this example is already near the practical cap. Employee deductions (withheld separately) include the matching SSC share (also capped) and progressive PAYE income tax.

Income Tax (PAYE, 2026)

Malta applies progressive income tax rates (0%–35%) with different bands depending on filing status (single, married, or parent computation) — among the more favourable personal tax regimes in the EU at typical professional salary levels.

Termination & Separation

Notice periods scale with length of service under the Employment and Industrial Relations Act, from 1 week (under 6 months) up to 12 weeks (8+ years). Malta has no

general statutory redundancy/severance payment beyond notice, though redundancy dismissals must follow a strict "last in, first out" selection method by default.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
10 February	Feast of St. Paul's Shipwreck	National
19 March	Feast of St. Joseph	National
31 March	Freedom Day	National
3 April	Good Friday	National
1 May	Workers' Day	National
7 June	Sette Giugno	National
29 June	Feast of St. Peter and St. Paul	National
15 August	Assumption Day	National
8 September	Victory Day	National
21 September	Independence Day	National
8 December	Immaculate Conception	National
13 December	Republic Day	National
25 December	Christmas Day	National

Malta observes 14 public holidays — one of the highest counts in the EU — reflecting its strong Catholic and national-historical traditions.

Ready to hire in Malta?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Malta employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).